

SILVERCREST ASSET MGT SAMG

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by

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			2026	2027
Price:	9.98	EPS	0	0
Shares Out. (in M):	12	P/E	0	0
Market Cap (in \$M):	118	P/FCF	0	0
Net Debt (in \$M):	-4	EBIT	0	0
TEV (in \$M):	114	TEV/EBIT	9.1	4.5

Description

I think Silvercrest Asset Management is being undervalued by Mr. Market, as it goes through an ambitious investment cycle. If these investments are successful, I think you have bought an attractive business with significant private market valuation support for ~4.5x EBITDA that is poised to benefit when value investing strategies inevitably (I hope! 💎) come back into vogue. If not, I don't think you lose much at the current valuation. Further, management is a large owner of the business and appears shareholder oriented with favorable capital allocation.

Silvercrest is effectively a publicly-traded multi-family office platform, specializing in high-touch wealth management and comprehensive financial advisory services for family offices and ultra-high net worth individuals / families. JohnnyFinance has a great write-up on the name on November 10th, 2020.

Silvercrest is in the midst of a meaningful investment in sales and capabilities expansion, including 31 new hires over the past 18 months and opening offices in Atlanta, Singapore, and Australia. As a result, EBITDA has been crushed as revenue has remained roughly flat/slightly up.

If we run-rate Q1 EBITDA for a full year annualized number of \$12.6mm (after stock-based compensation and DE franchise tax that management adjusts out of EBITDA, but I'm leaving the expense in), the Company trades at 9.1x EBITDA, a fair-to-slightly-cheap multiple for such advisors - some PE activity in the space and publicly traded comparables have traded/trade in the 10x - 12x range.

However, if the Company's growth investments pay-off, I believe the Company can return to 20% - 30% EBITDA margins at much higher revenue levels. This margin level is inline with what the Company has historically achieved prior to these growth investments (median EBITDA margin over the past 10-years of 24.5%) and consistent with industry comparables. Even if the investments don't pay off and the Company doesn't grow, it could cut many of these growth expenditures and return to such EBITDA margin levels resulting in a doubling of EBITDA from run-rate levels.

EBITDA Margin on Run-Rate Rev				
	Current	20%	25%	30%
SAMG	\$9.98	\$19.58	\$24.39	\$29.20
Class A	7.68	7.68	7.68	7.68
Class B	4.17	4.17	4.17	4.17
Total Shares	11.85	11.85	11.85	11.85
Market Cap	\$118.2	\$232.0	\$289.0	\$345.9
Less Cash Equivalents	(11.6)	(11.6)	(11.6)	(11.6)
Investments	(2.9)	(2.9)	(2.9)	(2.9)
Debt	10.0	10.0	10.0	10.0
Cap Lease	0.3	0.3	0.3	0.3
Enterprise Value	\$114.1	\$227.9	\$284.8	\$341.8
EV/ EBITDA	9.1x	9.1x	9.1x	9.1x
Upside / (Downside)		96.2%	144.4%	192.6%

Management owns over 35% of the business and appears to be a good steward of shareholder capital - paying an attractive dividend yield of 8%+.

There is some evidence the investments are paying off with management citing a robust pipeline and backlog and recent positive ratings by consultants. From the Q1 call:

"Our new business pipeline remains particularly robust with regards to the firm's global and international equity strategies, bolstered by exceptional investment performance across the board. The firm continues to generate strong interest from institutional consultants and allocators globally, and our primary institutional objective for 2026 is to convert that pipeline into consultant approvals and funded mandates."

"Now what does that mean for 2026? I can't firmly tell you. We're working on how to measure this pipeline because it's either a lot of money or zero money in terms of a decision-making, right? And quite binary. But I can tell you that the pipeline we're looking at is in the billions of dollars. The issue with giving you that number, that is the high potential right now. But the expected return out of that is a little bit unknown since we are newly entered into the field with these capabilities."

This strikes me as a "heads I win, tails I don't lose so much" scenario with an aligned management team and the potential for significant upside given the multiples that can be assigned to these types of businesses when they are growing rapidly. There is robust PE appetite for such platforms and I wouldn't be surprised by a transaction over the next 3 - 5 years.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Growth in capabilities and sales pay-off.
- Value comes back into vogue
- Eventual exit via strategic or PE

Messages

Subject	Question
Entry	07/30/2026 01:34 PM
Member	AIFL

Thanks for the writeup. Have one question after looking into Silvercrest's history - net flows have turned pretty negative during the past 4 years after being largely positive for the decade prior. Market appreciation is enough to keep the business growing, but that still seems like a worrying dynamic. What do you think is driving this outflow? Has the reputation of the business declined since 2020?

Subject	Re: Question
Entry	07/30/2026 08:27 PM
Member	mrsox977

i forgot about this company, shame on me for forgetting a publicly traded peer. anyway, this is really the right question to ask, i've seen firms in outflow and they're not getting those nice private market valuations, they're getting something closer to where this is trading now. acquirers view them as reclamation projects. i'd looked at one that was smaller than this, but big enough to trade on an ebitda multiple, very few people were willing to touch it.